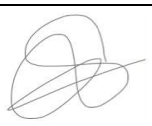
Unitec	**School of Applied Business** **Master of Applied Business**

BSBS8000 Strategic IQ

Assignment 1: Individual Case Study Analysis

Semester 2, 2026, Class 6195

Date issued:	20 July 2026	
Due date and time:	Case Study Analysis completed by week 9, 20th Sept 2026 at 11.59pm.	
Delivery:	Uploaded to Turnitin via Moodle.	
Total marks:	100 marks.	
Weighting:	40% total.	
Word Limit:	2,500 words (+/– 10%).	
Expected number of hours to spend on this assessment:	36 hours	
Lecturer:	Dr Glenn Simmons	
Instructions:	An individual Assessment. Complete this cover sheet and attach it to your assignment. Collusion, copying or plagiarism may result in disciplinary action. **Using AI output from Generative AI or from an AI paraphraser, for this assessment constitutes, and will be treated as, a breach of academic integrity.**	
Individual declaration:	I confirm that: • My submissions are original and entirely my own work. • Where I have used ideas, tables, diagrams etc. of other writers, I have acknowledged the source in every case using APA7 style. • My submission has not been submitted as assessed work for any other academic course.	
Student Name:	**Student ID Number:**	**Student Signature:**
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Tourism Holdings Ltd (THL): A Strategic Thinking and Sustainability Analysis

Introduction

THL or Tourism Holdings Ltd is the largest campervan rental company and one of the biggest contributors to New Zealand's tourism industry. Before Covid-19, they were doing great business with a large number of tourists but creating over-tourism problems at the same time. The pandemic stopped the business and the number of tourists declined sharply until the situation reversed in the post covid period. This company is now facing a strategic challenge of not repeating the same over-tourism problem. In parallel, they need to create business value while maintaining a sustainable balance between the environment and the local community. That's why a question was raised in the case study about THL's ability to create a sustainable business model: can simply increasing the visitor charge solve the problem? This is not a simple one-line solution but it requires strategic thinking. This will support THL to adjust its ability and strategies as the external environment and circumstances change (Harvard Business Review [HBR], 2019).

De Wit described strategic thinking as a process of four processes working together, like identifying a problem, explaining it deeply, thinking about a solution and finally turning it into reality. THL is also having the same situation and this report is presented using the same logic. Firstly the four well-known frameworks like PESTEL, Poter's five forces, VRIN and SWOT are used to explain the internal and external environment. The report then uses Teece's Dynamic Capabilities Framework to demonstrate how THL assumes a solution and implements it. In the second chapter of de Wit's book this framework is mentioned. Later the effects of these five strategies will be evaluated to examine that how effectively it is creating value for THL. In the end all the frameworks and theories will be criticized about their limitations and opportunities. The text book (de Wit, 2020), HBR's class reading, sustainable and community based tourism articles have been used in this report writing.

Evaluation of Strategic Thinking Frameworks

Strategic thinking begins with stepping out from the daily work to observe the entire environment and resources of own resources (Broman,2016; HBR, 0219). In de Wit's terms identifying and explaining the problem are the first two steps that must be passed before thinking about a solution. PASTEL, Five Forces and VRIN are the tools that used for this identifying and explaining the situation of THL. To synthesize between every parts SWOT is applied for the next stage. Means that it helps to think about the solution. Usually before strategic analysis the external situation (micro and macro) is more thoroughly examined than that of internal situation and this sequence is followed below.

PESTEL (macro-enviroment). Political and legal factors are playing big role in THL's macro environment. During Nash era certain cetification for free camping car's were mendatory. Fines up to $1200 for a non complaint vehical and upto $20000 for damaiging the environment. From the economic perspective the tourist number are resuming like 2019 but cost of changing old vehicale is also raising. In the sociocultural point of view there is a shift in preference where visitors demanding authentic and low impact experience. The frustration among locals of Queenstown. Tekaopo and other tourist attraction is clearly raising. This consist with Butler and Dodds' (2022) thoughts as they mentioned that though the over tourism has exceeded the tourist capacity but no one has shown the political will to restrict the number of visitors. Electrification of the vehicles and monitoring the behavior of the visitor through apps are included in the technological perspective. The environmental factors are vital to this case like camping waste, overcrouding in the natural sites, and air pollution by the disel based vehicals. The legal point of view is based on the reinforcement of political decision.

Poter's Five Forces (micro-environment). Through the framework of Poter's (2008) it can be observed that the competition of campervan rental is moderate to high. THL has to compete with digital platforms and global platforms as well. They are quite transparent with their prices and capable of attracting customers from different platforms which increases the compition even more. To enter this business requires high investments for purchasing new vehicles and its maintenance. The new rules are making it more difficult for new investors in this sectors but this is actually positive for THL. The customers have significant power and many more opportunities as well to travel New Zealand. Especially the backpackers are very sensitive to the pricing. Supplier power is moderate, the vehicle manufacturer and the charging infrastructure providers are gaining some control as THL commits to electrification. Also there are alternative destination and hotel based travel options as Tony Wheeler's warned in the case of pricing out budget customers will narrow down the number of visitors. Overall, the consumer power and price hike due to the competition are mounting pressure on THL. So instead of competing by dropping price the company should differentiate them through sustainability and good experience (Porter, 2008).

VRIN (internal capabilities). The number of vehicles throughout the country and dealer network is valuable and also scares in New Zealand. On the other side their normal diesel vehicle fleet can be easily imitable and they are not creating any sustainable value as well. THL's genuine strength is neither its logistics nor its wealth but its rich database that can't be imitated. They can share the data of tourist movement with the council for better infrastructure planning. These resources are scarce and can become valuable in competition if THL can use the data sharing in an organized agreement rather than internal reporting exercise.

SWOT synthesis. The size, brand recognition and already existing pathway for electrification are the strengths of THL. Contrary to this most of their vehicles are still run by diesel, the business value is fluctuating and the business itself is dependent on seasons which are their weaknesses. Opportunities are becoming the leader in sustainable campervan tourism and gaining closer

relationship with the public sector. Threats include the continuation of over-tourism, the development of strict regulations and losing reputation because of non-compliance attitude of customers. As SWOT don't create or generate new dimensions, but it narrows down the point for the next statigic level from the PESTEL, Five Forces, and VRIN.

Application of Dynamic Capabilities

Earlier PESTEL, Five Forces and VRIN demonstrates a large static photo of THL's environment and resources. Now Teece's (2007) Dynamic Capabilities framework helps us understand the procedure of following sense, seize, and transform. It is to gain the advantage in the sector being reshaped by regulation, climate expectations and visitor behavior. In the strategizing chapter (de Wit, 2020) sensing is described as identifying, seizing as conceiving and realizing to implementing or acting. This textbook is relevant to THS's case because, in Teece's words- dynamic capability is practiced "consciously, explicitly and rationally" (Teece, 2007 as cited in de Wit, 2020, p.74), not as an initial reaction to any new regulatory shock. The third one was mentioned as "reconfiguring" by Teece (2007), later translated as "transforming" by Hodgkinson and Healey (2011) which is also used in this report.

Sensing. THL is directly linked with its customers so they can relate their behavior and preferences before the new regulation. This provides the opportunity to understand the increasing community frustration before Nash reforms were enacted. So a company should emphasize this sensing skill to understand patterns and not to take the regulation as a shock. This is simmiler to Butler and Dodds' (2022) findings that failier to understand the capacity within time is one of the biggest reasons to address overtourism problem. THL should recognize this to avoid repetition when extending their number of vehicles.

Seizing. The pattern of low-emission and low-impact traveling should be noticed by THL and use it for advantage in introducing electric vehicles gradually. Another important mandatory implementation of leaving no trash should be added to their induction and wast-mangement system. They should use the rental bond to meet environmental compliance requirements. Basically whenever there is a seizing option you should transform the external challenge and regulatory penalty into the company's favor by linking to the compliance and branding. Seizing is not only about technology but also business model. This is to reshape the companies ways of creating value from itinerary not only a single rental transaction. Changes like this will spread the visitors from overcrowding the hotspots.

Transforming. Maintaining the business position at the same time changing with the trend and new regulations is the biggest challenge for THL. They have to add new electric vehicles, install new charging facilities, renegotiate with the council and suppliers. Another change in the performance measurement should shift from vehicle rental numbers to implemented values and compliance. Similar to the case study's conclusion: Overtourism will return if the industry doesn't transform to rebuild itself. As Teece mentioned failing to transform will take the system into the

previous business model. This will leave THL vernarable to the same regulatory and reputational risk that caused the 2022 reset.

From the point of Dynamic Capabilities, it shows that collaboration with the stakeholder is not only important for the moral obligation but also for strategic reasons. Rastegar and Ruhanen (2023) suggest finding a mutual place of benefit for stakeholders and the locals. It will acknowledge both of the parties rather than imposing from above. If THL shares its own data with the council then they can increase their chances for future sensing ability.

Effectiveness of the Organization's Current Strategies

The five strategic opportunities identified by THL based on value creation and sustainability are not the same.

The electrification of vehicles is a correct decision but in the execution part there is a challenge in establishing the charging infrastructure. Those establishments are located outside New Zealand's central areas. So after solving the electrification and waste issue it will not achieve the goal completely. Because THL's main goal is to become a clean, green brand with a competitive price. As Potter (2008) mentioned, it is a strategy to differentiate from competitors with a competitive price not the solution to compliance issue.

On the other hand, implementing 'Leave No Trace' practice is based on the actual reason of the 2022 regulatory reform. It is considered as the transition of compliance from and externally imposed cost into an internally managed brand asset by leveraging bobn driven accountability. This aligns with the findings of Organisational Justice research that shows fair management creates social acceptance without the implementation of fines (Rastegar & Ruhanen, 2023).

Dispersed tourism is a concept that is in line with sustainability. Research conducted by Turcinovic et al. (2025) shows that dispersed tourism led by community in rural destination increases competitiveness of the destination and distributes economic benefits evenly. However THL's capability is limited to disperse tourist, as Butler and Dodds (2022) point out, that iconic destinations are the main attraction for the first time and day visitors. Without marketing of destination level and investment in infrastructure this opportunity is not fully effective.

Cooperation with public sector is THL's lest developed among the five opportunities. It can be the most important one as it will bring the company close to policy making. They can improve their sensing capability and even their voice can influence in future policy making rather than simply comply with the rules. Fathimath's (2015) study on stakeholder collaboration in Auckland tourism sector shows that lake of clear communication is the principal problem. In this sector they have to invest time and effort in relation building with the council.

Multi segment strategy is also logical due to Wheeler's warning about targeting only high-end customers will reduce the market size. Allowing backpacker friendly alternatives, that are

compliance certified, will diversify the revenue and at the same time it will not be restricted for only one group of travelers.

THL's overall strategy generates value from differentiating itself from others and complying with the regulations. So the competition and buyer power mentioned in the Five Forces are suitable for this strategy. The implementation of 'Leave No Trace' or bond driven accountability is the biggest challenge for them. If this fails then those long term investments like the electrification of vehicles can be seen as marketing by the council and the locals.

Critical Reflection

The above mentioned frameworks are helpful because of their sensible assumptions. Lee Bouygues (2019) described the process of questioning assumptions which is business reasoning based on evidence. This helps to take the broad approach compared to the single narrow minded view of 'the tourist' and 'the industry'. PESTLE and Five Forces are sequenced before VRIN and SWOT. This will prevent doing a study before first looking at the external situation as Coors or Lego did (Schoemaker et al., 2013).

However both models have significant drawbacks. PESTEL and Five Forces shows a still picture that portrays the current configuration well but doesn't tell about how and when it will change. The Dynamic Capabilities framework will fill this gap. It is problematic to evaluate with VRIN/VRIO because THL have already announced its success by looking back to its data or its brand value. Because it is really difficult for competitor to copy brand like THL. SWOT is the most subjective part fot THL's resources, as a good example disele fleet are the weakness for environmental exposure but strengths as existing funded fleet, depends on the point of view (de Wit, 2020).

A critique of the Dynamic Capability Framework in de Wit's chapter shows that though it is useful tool but it is not perfect. De Wit (2020,p. 59) discussed that besids logic and explanation, intuition is also important in strategic thinking. PESTEL, Poter's Five Forces, VRIN and Teece's Dynamic Capability Framework is mainly dependent on data, logic and structured analysis. Hodgkinson & Healey (2011) stated that during taking a strataic decision the intuition, emotion and unconscious of the decision maker plays a big role. Because of that sensing, seizing and transforming should not be treated as the ultimate tool for measuring strategic change. Its better to treat as a useful framework to understand the changes. Apart from that it is not possible to solve a problem by analyzing the business only. Because of the difference of interest in the involvement of relevant parties like government, tourism, local residents and tourists. Preferences of stakeholders' knowledge and interest also play an important role during decision-making. Rastegar & Ruhanen (2023) showed in their study that local knowledge and fairness or organizational justice should be taken into account during tourism decision-making. So not only data and analytical framework but also experience, intuition and stakeholder knowledge and interest should be preferred during effective strategic thinking.

Conclusion

In the end, we can assume that using those frameworks altogether is most effective than using it differently. Different HBR related to strategic thinking shows that strategic thinking is not only a skill but also works as a platform. That platform helps to understand the future scopes and problems, questioning, describing, decision taking and also unite people's goal (Schoemaker et al., 2013). Similarly, strategic thinking is practiced repetedly, that is not just once planning exercise (Dpwman, 2016; HBR, 2019). De Wit (2022) talked about balancing between logic and intuition. As an example he suggested using analytical thinking for some time and creative other times or using intuitive thinking or using analytical and intuitive thinking people in the same team. The same technique can be used for THL's decision making regarding shuffling their vehicle from diesel to electric. In this process they should not work with data and cost analysis only but also they should consider the market situation, practical experiences of managers and workers. That's why PESTEL, Five Forces, VRIN and Dynamic Capabilities should not be used only once for THL's this assignment, but should be applied as a part of regular strategic thinking. To conclude THL has to take decision with the combination of government regulation, community relationships, market changes and its own resources with managers and frontline employees experiences.

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